



INVENTORY CONTROL SYSTEM

POLICY 4-12

INTRODUCTION:

To facilitate pinpointing excessive and costly inventories not otherwise necessary with the end in view of realizing inventory cost savings and to establish responsibility centers for transfer, control and custodianship of cooperative utility assets and other inventory items.

POLICIES:

1. That management initiate systematic number of all forms, materials, equipment, furniture and fixtures, vehicles, and inventory items for effective and efficient control.
2. That management shall establish "responsibility center" for effective transfer, control and custodianship of the above inventory items.
3. That inventory records, supplies, materials, equipment, vehicles, furniture and fixtures, buildings and other fixed assets must be undertaken quarterly to insure efficient and effective control of all inventory items of the cooperative.
4. Such inventory shall include a systematic procedure of handling all receipts and disbursements of inventory items by indicating the date of receipts or disbursements, item description, quantity in store, quantity disbursed, balance, unit price, total value and status of inventory.
5. That management, through the finance and administrative departments prepare and submit quarterly inventory report to the Board for information and action if necessary; such report shall be submitted at the end of each quarter as follows: March, June, September, and December.
6. That a property custodian clerk under the accounting office shall be responsible in preparing and maintaining updated records and ledgers of cooperative assets.

IMPLEMENTATION:

The General Manager shall be responsible in implementing this policy.

EFFECTIVITY:

This policy shall take effect immediately upon approval.

(SGD) BASANIO TELLO
President

(SGD) ANICETO G. NARCISO
Secretary

ADOPTED per Resolution No. 103-81 dated August 12, 1981.